
**SENATE COMMITTEE ON
BANKING AND FINANCIAL INSTITUTIONS**
Senator Steven Bradford, Chair
2019 - 2020 Regular

Bill No:	SB 908	Hearing Date:	May 19, 2020
Author:	Wieckowski		
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Urgency:	No	Fiscal:	Yes
Consultant:	Eileen Newhall		

Subject: Debt collectors: licensing and regulation: Debt Collection Licensing Act

SUMMARY This bill creates a new licensing law applicable to debt collectors and debt buyers, administered by the Department of Business Oversight, as specified.

EXISTING FEDERAL LAW provides for the Fair Debt Collection Practices Act (FDCPA; Public Law 95-109), codified as 15 U.S.C. Sections 1692 through 1692p, which prohibits debt collectors from engaging in abusive, unfair or deceptive practices to collect debts. Violations of the FDCPA are enforceable through a private right of action or a class action, or through administrative action taken by the Federal Trade Commission or applicable federal banking agencies, including the federal Consumer Financial Protection Bureau.

EXISTING LAW

- 1) Provides for the Rosenthal Fair Debt Collection Practices Act (Rosenthal Act; Civil Code Section 1788 et seq.), California's state equivalent of the FDCPA. Like the FDCPA, the Rosenthal Act prohibits debt collectors from engaging in specified abusive, unfair, or deceptive practices to collect debts. Violations of the Rosenthal Act are enforceable through a private right of action. A debt collector who violates the Rosenthal Act is liable in an amount equal to the sum of any actual damages sustained by the debtor. A debt collector whose violation is willful and knowing is liable to the debtor for actual damages plus an amount between \$100 and \$1,000 as determined by the court. Prevailing parties are entitled to reasonable attorney's fees and costs, as specified (Civil Code Section 1788.30). Additionally, any attempt to collect a consumer debt using a process that gives the appearance of being authorized or approved by a governmental agency is a misdemeanor punishable by imprisonment of up to six months in a county jail or by a fine up to \$2,500, or both (Civil Code Section 1788.16).
- 2) Provides for the Fair Debt Buying Practices Act (FDBPA; Civil Code Section 1788.50 et seq.), which requires persons that purchase delinquent or charged-off consumer debt to maintain, and provide upon request, specified documentation proving that the alleged debtor is the individual associated with the original contract or agreement, and that the amount of indebtedness is accurate. The FDBPA also requires debt buyers to provide specified disclosures to consumers when attempting to collect debts that are beyond the applicable statute of limitations. Violations of the FDBPA are enforceable through a private right of action or a class action. A debt buyer who violates the FDBPA is liable to the debtor for actual damages, plus

statutory damages of between \$100 and \$1,000 as determined by the court. In the case of a class action, a debt buyer is liable for statutory damages between \$100 and \$1,000 for each named plaintiff, or, if the court finds that the debt buyer engaged in a pattern and practice of violating the FDBPA, the court may award actual damages to the class in an amount not to exceed the lesser of \$500,000 or 1% of the debt buyer's net worth. Prevailing parties are entitled to reasonable attorney's fees and costs, as specified. Recovery in an action brought under the Rosenthal Act or the Federal FDCPA precludes recovery for the same action under the FDBPA (Civil Code Section 1788.62).

THIS BILL

- 1) Adds a new Division 24 to the Financial Code, titled "Debt Collection Licensing Act" (DCLA), effective January 1, 2022, which requires the licensure of persons who engage in the business of debt collection in this state and is administered by the Department of Business Oversight (DBO). The DCLA:
 - a) Defines "debt collector" using identical language as the Rosenthal Act and provides that a person who meets the definition of "debt buyer" in the FDBPA is considered a debt collector for purposes of the licensing law. Provides that a debt collector is operating in this state if they are located in this state and are seeking to collect from a debtor that resides inside or outside the state or if they are located outside this state and are seeking to collect from a debtor that resides in this state.
 - b) Defines the terms "consumer credit transaction," "creditor," "debt," "debt collection," and "person" as those terms are defined in the Rosenthal Act.
 - c) Defines the terms "consumer debt" and "consumer credit" as those terms are defined in the Rosenthal Act and provides that the term "consumer debt" includes "charged-off consumer debt," as that term is defined in the FDBPA.
 - d) Requires licensees to comply with the Rosenthal Act and the FDBPA and provides that a violation of the Rosenthal Act or the FDBPA constitutes a violation of the DCLA.
- 2) The DCLA:
 - a) Provides powers to the commissioner similar to those in other Financial Code licensing laws administered by the commissioner, including rulemaking authority; authority to prescribe the content of the licensing application and require applicants to apply through the Nationwide Multistate Licensing System & Registry; investigation and examination authority; and limited enforcement authority, which includes desist and refrain authority, the ability to order ancillary relief, and the ability to suspend or revoke a license.
 - b) Requires applicants for licensure to submit to a background check, as specified, pay specified application fees, and provide information requested by the commissioner.

- c) Requires licensees to pay annual license fees, as specified; notify the commissioner regarding any changes that result in the information in their applications becoming inaccurate or incomplete and notify the commissioner regarding any changes in their places of business; develop policies and procedures reasonably intended to promote compliance with the DCLA; file annual and special reports and submit to requests for information as required by the commissioner; maintain surety bonds of at least \$25,000; and submit to examinations by the commissioner at least once every 36 months.
 - d) Provides exemptions from licensure under the DCLA to depository institutions chartered under state or federal law, California Financing Law licensees, California Residential Mortgage Lending Act licensees, and Real Estate Law licensees, but allows the DBO commissioner to issue desist and refrain orders to any of these entities that violate the Rosenthal Act or the FDBPA and to order any of these entities to pay ancillary relief in connection with Rosenthal Act or FDBPA violations.
 - e) Authorizes the commissioner to issue a desist and refrain order to and to order the payment of ancillary relief by a person engaged in business as a debt collector without a license from the commissioner.
- 3) Amends the Rosenthal Act and the FDBPA to require debt collectors and debt buyers to include their license numbers on their written communications.

COMMENTS

- 1) Purpose: This bill is sponsored by the author to ensure greater consumer protection through enhanced oversight over debt collectors and debt buyers operating in the state.
- 2) Background and Author's Perspective: According to the author's office, California licensed the debt collection industry from 1927 to 1992 under a law administered by the Bureau of Collection and Investigative Services, under the Department of Consumer Affairs.

In citing the need for this bill, the author's office observes that California is in the minority of states that currently fail to license debt collectors, along with Georgia, Kentucky, Mississippi, Missouri, Montana, New York, Oklahoma, South Carolina, Vermont, and Virginia. Most of the states that require licensing also have their own state-level fair debt collection laws with enforcement provisions; thus, other states impose licensing laws in addition to, not in lieu of fair debt collection laws.

Finally, the author's office observes that the debt collection and debt buying industries are notoriously unscrupulous in their practices. Despite federal and state Fair Debt Collection Practices Acts, collection practices consistently remain a top consumer complaint. From July 2011 to March 2018, the federal Consumer Financial Protection Bureau received just over 400,000 debt collection complaints, representing nearly one-third of all complaints received. The most common concerns identified by consumers were attempts to collect a debt not owed (39%), written notification about debt (17%), and communication tactics (17%). The author

notes that, while the California Attorney General (AG) can accept consumer complaints about debt collection and debt buying practices and does pursue major, widespread violations of the law, the AG cannot engage on every complaint filed or take enforcement action on every alleged violation. It is also unreasonable to expect individual consumers to bring their own actions for violations of the Rosenthal Act or the FDBPA, because very few attorneys will take small-dollar cases, and most consumers do not know what protections the laws afford them.

- 3) Discussion: This bill uses the two existing state laws applicable to debt collectors and debt buyers as its foundation. With only minor exceptions, this bill does not add any new requirements on debt collectors or debt buyers; instead, it adds a layer of regulatory oversight over debt collectors and debt buyers already subject to state law, but not currently subject to licensure. The author's logic is that by layering a licensing and examination framework over existing state law requirements, the state will be better able to ensure that debt collectors and debt buyers comply with existing law.

Although this bill bears many similarities to many of the Financial Code licensing laws already administered by DBO, it does contain one significant difference: more limited administrative enforcement authority. Recognizing that the Rosenthal Act and the FDBPA already authorize private rights of action for violations of these acts, SB 908 contains a limited set of administrative remedies, including desist and refrain authority, the ability to order ancillary relief, and the ability to suspend and revoke licenses. Lack of civil and administrative penalty authority and citation and fine authority in SB 908 is intended to prevent situations where a licensee could be subject to both a lawsuit by a debtor and to an administrative or civil action brought by DBO for the same violation.

- 4) Governor's Budget Proposal Would Give DBO Jurisdiction Over Debt Collectors: In its January budget, the Newsom Administration proposed to expand DBO and rename it the California Department of Consumer Financial Protection and Innovation (CDCFPI; Budget Change Proposal 1701-025-BCP-2020-GB). The trailer bill accompanying the BCP proposed to give DBO additional authority over its existing licensees and new oversight authority over entities which are not currently required to be licensed in California, but which offer or provide financial products or services in California. This second group (unlicensed entities that offer or provide financial products or services in California) are called "new covered persons (NCPs)" in the Governor's proposal. DBO estimated that debt collectors represented approximately 7,000 of the 9,000 NCPs over which the department would gain new authority. If SB 908 is enacted, the scope of the Governor's CDCFPI Budget Proposal will likely need to change, to reflect licensure of debt collectors and a resulting decrease in the number of NCPs over which the department will gain oversight.
- 5) Should Attorneys That Engage in Debt Collection Be Licensed? As noted in the Opposition section below, the California Creditors Bar Association is seeking an exemption from the licensing requirements of this bill for lawyers that are licensed by the State Bar and are engaged in the representation of clients. In an ordinary year, that topic would have been the focus of discussion in the Senate Judiciary Committee. This year, because the compressed timeframe available for policy

committee hearings, that subject is before the Senate Banking and Financial Institutions Committee. Input provided to this committee by Senate Judiciary Committee staff (see below) does not include suggested amendments to address the concerns of the California Creditors Bar Association.

This bill's author has also declined to provide a debt collector licensing exemption for attorneys on the following grounds: "Law firms operate as debt collection mills. They send collection notices on law firm letterhead and send communications to consumers using the law firm name. There is only one reason for this overlap in professions: because it works. Consumers see a notice from a law firm alleging they owe a debt. They are intimidated and frightened that they're being sued or will be sued, even though most often that is not the case. To exempt attorneys from licensure would blow a huge hole through the licensure law."

- 6) Other Outstanding Unresolved Issues: In addition to the issues raised by the opposition, the California Association of Collectors (CAC) is seeking several additional changes to the bill which, if made, would change CAC's position from neutral to support. Examples of changes CAC would like to see include capping the maximum amount of an allowable licensee fee; a 48-month, rather than a 36-month examination frequency; creating a Debt Collector Advisory Committee to provide a formal means for the industry to regularly communicate with DBO, similar to the Credit Union Advisory Committee and the Escrow Law Advisory Committee; limiting the commissioner's ability to release annual reports that contain private or proprietary information about debt collector licensees; clarifying, either in statute or regulation, the types of violations that would be grounds for license suspension or revocation; and precluding local jurisdictions from enacting their own debt collector licensing requirements. The author's office remains in discussion with CAC about these and other issues.
- 7) Input from Senate Judiciary Committee Staff: Due to the COVID-19 Pandemic and the unprecedented nature of the 2020 Legislative Session, all Senate policy committees are working under a compressed timeline. This timeline does not allow this bill to be referred to and heard by more than one committee, as a typical timeline would allow. In order to fully vet the contents of this measure for the benefit of Senators and the public, this analysis includes the following information from Senate Judiciary Committee staff:

"This bill touches on various issues within the jurisdiction of the Senate Judiciary Committee, most prominently the issue of consumer protection. According to the author, despite the existence of the federal Fair Debt Collection Practices Act¹ and the California's Rosenthal Fair Debt Collection Practices Act,² consumers continue to be plagued by unscrupulous and/or unlawful debt collection practices—in particular, attempts to collect on debts that are inaccurate, lack documentation, or are unenforceable. According to the author, consumers often do not realize they are being subjected to unlawful and/or incorrect debt collection efforts; even if they do, it is difficult to seek redress because the amounts at issue are below the threshold most attorneys will take on (though the amounts are far from small for the

¹ 15 U.S.C. §§ 1692-1692p.

² Civ. Code, § 1788 et seq.

consumer). This bill would add a layer of oversight by establishing a licensing regime for debt collectors, to be managed and regulated by the Commissioner of Business Oversight; the Commissioner's authority would include the power to create regulations, investigate alleged violations, and suspend or revoke licenses. This bill would also modify the restrictions on specific debt collection practices, specifically what information a debt collector must convey during phone calls and written or digital communications.

"A majority of states already require debt collection businesses to be licensed and/or registered.³ This bill would, therefore, align California with the growing consensus that debt collection requires significant state oversight and regulation. The bill adopts the same salient definitions relating to debt collection currently in effect in the Rosenthal Fair Debt Collection Practices Act, so the licensing requirement is limited only to persons or businesses which "in the ordinary course of business, regularly" engage in debt collection of consumer debt—i.e., debt owed by a natural person on a credit transaction conducted "primarily for personal, family, or household purposes."⁴ In other words, only persons and businesses who spend a considerable portion of their business collecting on credit debt held by natural persons will have to be licensed; the bill will exclude from licensure, e.g., persons who attempt to collect on debts owed between businesses and persons who only incidentally engage in debt collection activities. The enforcement authority granted to the Commissioner in the bill does not include the power to levy a civil penalty or bring a public right of action; the Committee may wish to consider whether the enforcement mechanisms in the bill are sufficient."

8) Support:

- a) The California Low-Income Consumer Coalition, Consumers for Auto Reliability and Safety, Public Law Center, Bet Tzedek, Bay Area Legal Aid, and others write that the oversight and enforcement authority in SB 908 "is long overdue and badly needed. While California has had laws on the books requiring fair debt collection practices since 1977, our laws do little to stem the bad behavior they prohibit. This is because the law requires the consumer to sue the debt collection company...Because the state has no oversight or licensing requirements, the industry can largely behave as it wishes. California has no idea how many debt collectors operate within the state, the sheer volume of debt they are collecting from Californians, or what qualifications these companies are requiring of their employees who manage thousands of accounts and thus impact the lives of thousands of Californians. SB 908 will add California to the list of the thirty-four other states that require a license in order to collect on a consumer

³ E.g., Alas. Stat. § 08.24.090; Ariz. Rev. Stats. § 32-1001 et seq.; Ark. Code, § 17-24-301; Colo. Rev. Stat. § 5-16-115; Conn. Gen. Stat. § 36a-801; Fla. Stat. § 559.553; Haw. Rev. Stat. § 443B-3; Idaho Code, § 26-2223; 225 ILCS 425/4; Ind. Code, § 25-11-1-3; La. Rev. Stat. § 9:3534.1; Maine. Rev. Stat. § 11031; Md. Bus. Reg. Code, § 7-301; Mass. Gen. Laws, ch. 93, § 24A; Mich. CLS § 339.904; Minn. Stat. § 332.33; Neb. Rev. Stat. § 45-601; Nev. Rev. Stat. § 649.075; N.M. Stat. § 61-18A-5; N.C. Gen. Stat. § 58-70-1; N.D. Cent. Code, § 13-05-02; Or. Rev. Stat. § 697.015; R.I. Gen. Laws §19-14.9-12; Tenn. Code, § 62-20-105; Utah Code, § 12-1-1; Rev. Code Wash., § 19.16.110; W. Va. Code § 47-16-4; Wis. Stat. § 218.04; Wyo. Stat. § 33-11-102.

⁴ Compare Civ. Code, § 1788.2, subds. (c), (d), (e), with SB 908.

debt.”

- b) Consumer Reports, the Western Center of Law & Poverty (WCLP), and California Advocates for Nursing Home Reform echo the aforementioned arguments. WCLP adds “Consumers will have a single location to view what companies are licensed, what companies are operating without a license, and any actions taken against a licensed company including suspension or revocation. The lack of any licensing in the largest state in the nation is a gaping hole of oversight over an industry that consistently violates consumer law.”

9) Opposition:

- a) The California Creditors Bar Association is seeking an exemption from the licensing requirements of the bill for lawyers that are properly licensed by the State Bar and are engaged in the representation of clients. “Members of the California Creditors Bar Association represent clients to collect a wide array of lawful obligations, including debts generated by defaults in contract obligations, consumer contracts, mortgage transactions, child support, and much more...Regulations of the State Bar already expressly require compliance with California’s Rosenthal Fair Debt Collection Practices Act, and violations by lawyers constitute grounds for disbarment...There is no public policy justification for subjecting lawyers to duplicative licensing by the Department of Business Oversight....A second license for precisely the same representation of clients is unnecessary, redundant, and will raise costs to clients.”
- b) The United Trustees Association (UTA) is seeking an exemption from the licensing requirements of the bill for trustees performing acts related to nonjudicial foreclosures, which are specified in the Civil Code. “Members of UTA act as trustees under real property deeds of trust...In conducting nonjudicial foreclosures under deeds of trust, trustees must comply precisely with the requirements imposed by the Civil Code, commencing with Section 2924...Whether the inclusion of trustees in the definition of debt collectors under SB 908 is intentional or not, there is no public policy reason to require licensure of these limited agents acting under the Civil Code. Trustees perform acts exactly as required by law, have established liability for failures to comply, and in fact for decades have been granted a broad privilege for acts required under the law (see Civil Code Section 47). Imposing additional licensing burdens on trustees will increase costs for all parties without corresponding benefit.”

10) Amendments: This bill’s author will be proposing the following amendments in Committee to address requests from interested parties.

- a) Page 6, lines 39 and 40, amend as follows: **A license shall be obtained for the licensee’s principal place of business and A license** shall not be transferred or assigned. **A separate license is not required for each individual branch office.**
- b) Page 7, lines 3 through 9, amend as follows:
 - (b)(1) Except as provided in paragraph (2), this division shall not apply to **a**

depository institution, as defined in Section 1420 ~~an insured depository institution chartered under state or federal law, a person licensed pursuant to Division 9 (commencing with Section 22000) or Division 20 (commencing with Section 50000), or a person licensed pursuant to Part 1 (commencing with Section 10000) of Division 4 of the Business and Professions Code, **or a trustee performing acts in connection with a nonjudicial foreclosure pursuant to Title 14, Chapter 2, Article 1 of the Civil Code (commencing with Section 2920).**~~

- c) Page 11, lines 5 through 9, amend as follows: (a) If, in the opinion of the commissioner, a person **who is required to be licensed under this division** is engaged in the business as a debt collector without a license from the commissioner, or a licensee has violated any provision of this division, an order, or a regulation adopted pursuant to this ~~provision~~ **division**, the commissioner may do any of the following:
- d) Page 13, lines 9 and 10 amend, as follows: (a) A completed application for a license in a form prescribed by the commissioner and signed under penalty of perjury. **Every application shall include the location of the applicant's principal place of business and all branch office locations.**
- e) Page 19, after line 13, insert the following: **(c) A licensee that opens a new branch office or changes the location of an existing branch office shall notify the commissioner in writing of the new branch office location within 30 days after the branch office commences business.**

11) Prior and Related Legislation:

- a) SB 750 (Wieckowski) from 2019 would have licensed debt collectors and debt buyers under a law administered by DBO. Never taken up by the author in the Senate Banking and Financial Institutions Committee.
- b) SB 233 (Leno and Correa), Chapter 64, Statutes of 2013, enacted the Fair Debt Buying Practices Act.

LIST OF REGISTERED SUPPORT/OPPOSITION

Support

Bay Area Legal Aid
 Bet Tzedek
 California Advocates for Nursing Home Reform
 California Indian Legal Services
 California Low-Income Consumer Coalition
 Center for Responsible Lending
 Consumer Federation of California
 Consumer Reports
 Consumers for Auto Reliability and Safety
 Courage California
 East Bay Community Law Center

Public Law Center
Western Center on Law and Poverty

Opposition

California Creditors Bar Association
United Trustees Association

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